```
class Employee < ActiveRecord::Base
  has_many :subordinates, class_name: "Employee",
                          foreign_key: "manager_id"

  belongs_to :manager, class_name: "Employee"
end
```

With this setup, you can retrieve `@employee.subordinates` and `@employee.manager`.

In your migrations/schema, you will add a references column to the model itself.

```
class CreateEmployees < ActiveRecord::Migration
  def change
    create_table :employees do |t|
      t.references :manager, index: true
      t.timestamps null: false
    end
  end
end
```